

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

ANSWER TO VERIFIED COMPLAINT

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”) answer the Verified Complaint of Complainant Bed Bath & Beyond Inc. (“Complainant” or “BBBY”) as follows with reference to the paragraph numbers in the original Verified Complaint (“Complaint”).

First Affirmative Defense

Without waiving any defenses, Respondents assert that BBBY's Complaint fails to state a claim for which relief can be granted. At its core, the Complaint centers on BBBY's claim that Respondents have breached the service contracts as agreed between them and BBBY. However, neither the facts pled in the Complaint nor the text of the contracts themselves support such claims. The contracts' duration ran from July 1, 2020, to April 30, 2022, and Respondents service commitments required the tender and carriage of a certain quantity of TEUs by the end of each contract's term. There were no monthly or quarterly carriage requirements, or guaranteed space per sailing in the contract; rather BBBY is asking the Commission to invent contract requirements that were not bargained for or agreed to between the parties. Respondents performed all the commitments as required by the service contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.

More fundamentally, the Commission clearly lacks subject matter jurisdiction over BBY's assertions that Respondents breached the service contracts (either expressly or implicitly). The Shipping Act prescribes that "the exclusive remedy for a breach of a service contract is an action in an appropriate court." The Commission has long held that this section bars all claims premised on the obligation to meet one's contract commitments; BBY cannot create unilaterally expand the agency's jurisdiction by relabeling contract-based claims as Shipping Act violations.

Additionally, BBY's reliance on Section 10(d)(1) of the Shipping Act, 46 U.S.C. 41102(c), is also misplaced, and ignores recent FMC interpretive rule and recent precedent that limits the section to only those cases where a regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis (as opposed to a particularly disputed contract or transaction) and where such practice or regulation is unjust or unreasonable.

BBY's allegations that Respondents somehow drove up freight rates, created artificial scarcity, unjustly and unreasonably exploited customers, and refused to deal with BBY are entirely false. As documented by the Commission itself, during the time period in question carriers faced unprecedented challenges arising from spiking demand, record growth in U.S. imports, global intermodal supply chain delays and congestion, and shoreside COVID restrictions. These factors caused severe and protracted trans-Pacific vessel delays, which removed a significant proportion of functional capacity from the market, disrupted vessel schedules, and stretched to the limit every part of the inland intermodal supply chain. Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new capacity and service options, and worked cooperatively with BBY and other shippers to provide the highest levels of service quality under extraordinary circumstances.

While the Respondents worked hard to meet customers' demands, BBBY on the other hand repeatedly and without explanation failed to manage its own supply chain, exacerbating the bottlenecks faced by other shippers and the ability of Respondents to reposition its containers to Asia in order to serve its customers' unprecedented demand for service. Now, as BBBY has entered bankruptcy and apparently moves forward towards liquidation, it has embarked on an unfortunate campaign to distort and obfuscate the relevant facts, contracts and law, in order to secure an unwarranted return.

Answers to Complainant's Allegations

1. Complaint paragraph 1 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondents deny the allegations of this paragraph, including that reparations are due.

2. Respondents admit the allegations in Complaint paragraph 2.

3. Respondents admit the allegations in the first sentence of Complaint paragraph 3, that they are members of the OCEAN Alliance, FMC No. 012426, an agreement among ocean common carriers publicly filed with and regulated by the Federal Maritime Commission, and that the remaining allegations were included in a press report. Otherwise, Respondents are without sufficient information to admit or deny those allegations. To the extent a response is required, denied.

4. Respondents deny the allegations in Complaint paragraph 4. Contrary to Complainant's false allegations, Respondents did not exploit customers or deprive shippers of capacity, and did not create any artificial scarcity. To the contrary, as demand for trade surged during the period addressed by the Complaint, OOCL supplied as much container-carrying capacity as they could to meet the extraordinary demand for consumer goods and other trans-

Pacific trade created by the pandemic, and to alleviate the shortage of capacity caused by widespread port closures in foreign origins and delays in berthing, loading and unloading vessels.

5. Respondents deny the allegations in Complaint paragraph 5.

6. Respondents deny that Complainants experienced misconduct. The carrier referenced in the order cited in Docket No. 21-05 was Mediterranean Shipping Company, S.A., not COSCO Shipping Lines. Respondents lack sufficient knowledge or information to form a belief about the truth of the remaining allegations in Complaint paragraph 6. To the extent an answer is otherwise required, those allegations are denied.

7. Respondents lack sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 7. To the extent an answer is otherwise required, those allegations are denied.

8. Respondents deny the allegations in Complaint paragraph 8.

9. Respondents deny the allegations in Complaint paragraph 9.

10. Respondents admit that OOCL's 2021 Annual Report contained the language quoted at Complaint paragraph 10 but, except as admitted, deny the allegations in Complaint paragraph 10.

11. Respondents deny the allegations in Complaint paragraph 11.

12. Complaint paragraph 12 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondents deny the allegations of this paragraph, including that reparations are due.

13. Respondents lack sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 13.

14. Respondents admit the allegations in Complaint paragraph 14.

15. Respondents admit the allegations in Complaint paragraph 15.
16. Respondents deny the allegation that OOIL is majority owned or controlled by COSCO SHIPPING Lines Co., Ltd., and admits the remaining allegations in Complaint paragraph 16.
17. Respondents deny the allegations in Complaint paragraph 17.
18. Respondents deny the allegations in Complaint paragraph 18. Respondents deny that the FMC has jurisdiction over this matter to the extent BBY's claims constitute breach of contract claims.
19. Respondents admit the allegations in Complaint paragraph 19.
20. Respondents deny the allegations in Complaint paragraph 20. Complainant's reliance on Section 10 (d)(l) of the Shipping Act, 46 U.S.C. 41102(c), is misplaced, and fails to plead any alleged facts that would establish that a regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis where such practice or regulation is unjust or unreasonable.
21. Respondents deny the allegations in Complaint paragraph 21.
22. Respondents deny the allegations in Complaint paragraph 22.
23. Respondents deny the allegations in Complaint paragraph 23.
24. Respondents deny the allegations in Complaint paragraph 24.
25. Respondents deny the allegations in Complaint paragraph 25.
26. Respondents deny the allegations in Complaint paragraph 26.
27. Respondents deny the allegations in Complaint paragraph 27.
28. Respondents admit the allegations in Complaint paragraph 28.

29. Respondents admit that the MQC was 4200 TEUs (equivalent to 2100 FEUs), when the 2020 Service Contract was first executed; however, during the contract terms the parties agreed to an amendment reducing the MQC to 2171 TEUs. Except as admitted, Respondents deny the allegations in Complaint paragraph 29. The contract contained no monthly quantity commitments. .

30. Respondents deny the allegations in Complaint paragraph 30.

31. Respondents deny the allegations in Complaint paragraph 31. Complainant did not utilize all the space that Respondents made available to the Complainant during the contract year.

32. Respondents deny the allegations in Complaint paragraph 32.

33. Respondents deny the allegations in Complaint paragraph 33.

34. Respondents deny the allegations in Complaint paragraph 34.

35. Respondents deny the allegations in Complaint paragraph 35.

36. Respondents deny the allegations in Complaint paragraph 36.

37. Respondents deny the allegations in Complaint paragraph 37.

38. Respondents deny the allegations in Complaint paragraph 38.

39. OOCL lacks sufficient knowledge or information to form a belief about the truth of the allegations in Complaint paragraph 39. To the extent an answer is otherwise required, those allegations are denied.

40. Respondents admit the allegations in Complaint paragraph 40.

41. Respondents admit that the MQC was 7592 TEUs (equivalent to 3796 FEUs), when the 2021 Service Contract was first executed; however, during the contract terms the parties agreed to an amendment reducing the MQC to 3061 TEUs. Except as admitted, Respondents deny

the allegations in Complaint paragraph 41. The contract contained no monthly quantity commitments.

42. Respondents deny the allegations in Complaint paragraph 42. The service contract did not provide for any monthly allocations.

43. Respondents deny the allegations in Complaint paragraph 43. Complainant did not utilize all the space that Respondents made available to the Complainant during the contract year.

44. Respondents admit that Respondents' employee received an email dated August 25, 2021 that contained the language quoted in Complaint paragraph 44 but, except as admitted, deny the allegations in Complaint paragraph 44.

45. Respondents deny the allegations in Complaint paragraph 45.

46. Respondents admit that Respondents' employee sent an email dated August 20, 2021 that contained the language quoted in Complaint paragraph 46 but, except as admitted, deny the allegations in Complaint paragraph 46.

47. Respondents deny the allegations in Complaint paragraph 47.

48. Respondents deny the allegations in Complaint paragraph 48.

49. Respondents deny the allegations in Complaint paragraph 49.

50. Respondents deny the allegations in Complaint paragraph 50.

51. Respondents admit the allegations in Complaint paragraph 51.

52. Respondents admit that Section 9 of the 2020 Service Contract contains the language quoted in Complaint paragraph 52 but, except as admitted, deny the allegations in Complaint paragraph 52.

53. Respondents admit that Appendix A of the 2020 Service Contract, Note S1 contains the language quoted in Complaint paragraph 53.

54. Respondents deny the allegations in Complaint paragraph 54.
55. Respondents admit that Respondents' employee sent an email dated December 22, 2020 that contained the language quoted in Complaint paragraph 55 but, except as admitted, deny the allegations contained in Complaint paragraph 55.
56. Respondents deny the allegations in Complaint paragraph 56.
57. Respondents admit deny the allegations in Complaint paragraph 57.
58. Respondents deny the allegations in Complaint paragraph 58.
59. Respondents deny the allegations in Complaint paragraph 59.
60. Respondents admit that Respondents' employee sent an email on January 21, 2021 that contained the language quoted in Complaint paragraph 60 but, except as admitted, deny the allegations in Complaint paragraph 60.
61. Respondents deny the allegations in Complaint paragraph 61.
62. Respondents admit that Respondents' employee sent an email on January 22, 2021 that contained the language quoted in Complaint paragraph 62 but, except as admitted, deny the allegations in Complaint paragraph 62.
63. Respondents deny the allegations in Complaint paragraph 63.
64. Respondents deny the allegations in Complaint paragraph 64.
65. Respondents deny the allegations in Complaint paragraph 65.
66. Respondents deny the allegations in Complaint paragraph 66.
67. Respondents deny the allegations in Complaint paragraph 67.
68. Respondents deny the allegations in Complaint paragraph 68.
69. Respondents admit the allegations in Complaint paragraph 69.
70. Respondents admit the allegations in Complaint paragraph 70.

71. Respondents admit that a Press Release published by the FMC on or about August 4, 2021 contained the language quoted in Complaint paragraph 71 but, except as admitted, deny the allegations in Complaint paragraph 71.

72. Respondents deny the allegations in Complaint paragraph 72.

73. Respondents admit the allegations in Complaint paragraph 73.

74. Respondents deny the allegations in Complaint paragraph 74.

75. Respondents admit that its Annual Report published on or about April 27, 2022, contains the language quoted in Complaint paragraph 75 but, except as admitted, deny the allegations in Complaint paragraph 75.

76. Respondents admit that its 2022 Interim Report published on or about September 14, 2022, contains the language quoted in Complaint paragraph 76 but, except as admitted, deny the allegations in Complaint paragraph 76.

77. Respondents deny the allegations in the first sentence of Complaint paragraph 77, but admit the allegations in the second sentence.

78. Respondents admit the quoted language in Complaint paragraph 78, but otherwise deny the remaining allegations of this paragraph.

79. Respondents deny the allegations in Complaint paragraph 79.

80. Respondents deny the allegations in Complaint paragraph 80.

81. Respondents deny the allegations in Complaint paragraph 81.

82. Respondents deny the allegations in Complaint paragraph 82.

83. Respondents deny the allegations in Complaint paragraph 83.

84. Respondents deny the allegations in Complaint paragraph 84.

85. Respondents deny the allegations in Complaint paragraph 85.

86. Respondents deny the allegations in Complaint paragraph 86.

87. Respondents admit the quoted language in Complaint paragraph 87 but otherwise deny the remaining allegations of this paragraph.

88. OOCL admits that Commissioner Dye's Final Report from FMC Fact Finding Investigation 29 contains the language quoted in Complaint paragraph 88 but, except as admitted, deny the allegations in Complaint paragraph 88.

89. Respondents deny the allegations in Complaint paragraph 89.

90. Respondents deny the allegations in Complaint paragraph 90.

91. Respondents deny the allegations in Complaint paragraph 91.

92. Respondents deny the allegations in Complaint paragraph 92.

93. Respondents are in the process of reviewing their records to determine the accuracy of Complaint paragraph 93, but are presently not in a position to confirm or deny the allegations in that paragraph. Respondents reserve the right to amend this Response in due course. To the extent an answer is otherwise required, those allegations are denied.

94. Respondents deny the allegations in Complaint paragraph 94.

95. Respondents are in the process of reviewing their records to determine the accuracy of Complaint paragraph 95, but are presently not in a position to confirm or deny the allegations in that paragraph. Respondents reserve the right to amend this Response in due course. To the extent an answer is otherwise required, those allegations are denied.

96. Respondents are in the process of reviewing their records to determine the accuracy of Complaint paragraph 96, but are presently not in a position to confirm or deny the allegations in that paragraph. Respondents reserve the right to amend this Response in due course. To the extent an answer is otherwise required, those allegations are denied.

97. Respondents deny the allegations in Complaint paragraph 97.
98. Respondents deny the allegations in Complaint paragraph 98.
99. Respondents admit the allegations in Complaint paragraph 99.
100. Respondents admit that the 2020 Service Contract and the premium contract were in effect during the period from January 20 through April 30, 2021, but, except as admitted, deny the allegations in Complaint paragraph 100.
101. Respondents admit that the Pilot Program continued through the 2021 Service Contract Year but, except as admitted, deny the allegations in Complaint paragraph 101.
102. Respondents deny the allegations in Complaint paragraph 102.
103. Respondents deny the allegations in Complaint paragraph 103.
104. Respondents admit that employees sent emails on January 29, 2021 and July 1, 2021 that contained the language quoted in Complaint paragraph 104 but, except as admitted, deny the allegations in Complaint paragraph 104.
105. Respondents admit that employees sent emails on July 15, 2021 and July 23, 2021, respectively, that contained the language quoted in Complaint paragraph 105 but, except as admitted, deny the allegations in Complaint paragraph 105.
106. Respondents deny the allegations in Complaint paragraph 106.
107. Respondents deny the allegations in Complaint paragraph 107.
108. Respondents deny the allegations in Complaint paragraph 108.
109. Respondents are in the process of reviewing their records to determine the accuracy of Complaint paragraph 109, but are presently not in a position to confirm or deny the allegations in that paragraph. Respondents reserve the right to amend this Response in due course. To the extent an answer is otherwise required, those allegations are denied.

110. Respondents deny the allegations in Complaint paragraph 110.

111. Respondents deny the allegations in Complaint paragraph 111.

112. Respondents deny the allegations in Complaint paragraph 112.

113. Respondents deny the allegations in Complaint paragraph 113.

114. Respondents are in the process of reviewing their records to determine the accuracy of Complaint paragraph 114, but are presently not in a position to confirm or deny the allegations in that paragraph. Respondents reserve the right to amend this Response in due course. To the extent an answer is otherwise required, those allegations are denied.

115. Respondents admit that Respondents' employee sent an email on October 13 and 14th, 2021 that contained the language quoted in Complaint paragraph 115 but, except as admitted, deny the allegations in Complaint paragraph 115.

116. Respondents deny the allegations in Complaint paragraph 116.

117. Respondents deny the allegations in Complaint paragraph 117.

118. Respondents deny the allegations in Complaint paragraph 118.

119. Respondents deny the allegations in Complaint paragraph 119.

120. Respondents deny the allegations in Complaint paragraph 120.

121. Respondents deny the allegations in Complaint paragraph 121.

COMPLAINT COUNT I (46 U.S.C. § 41102(c))

122. Respondents incorporate into this paragraph each of the foregoing paragraphs 1 through 121 as though set forth herein in response to Complaint paragraph 122.

123. Respondents deny the allegations in Complaint paragraph 123.

COMPLAINT COUNT II (46 U.S.C. § 41102(c) and 46 CFR § 545.5)

124. Respondents incorporates into this paragraph each of the foregoing paragraphs 1 through 123 as though set forth herein in response to Complaint paragraph 124.

125. Respondents deny the allegations in Complaint paragraph 125.

COMPLAINT COUNT III (46 U.S.C. § 41104(a)(2))

126. Respondents incorporates into this paragraph each of the foregoing paragraphs 1 through 125 as though set forth herein in response to Complaint paragraph 126.

127. Respondents deny the allegations in Complaint paragraph 127.

COMPLAINT COUNT IV (46 U.S.C. § 41104(a)(10))

128. Respondents incorporates into this paragraph each of the foregoing paragraphs 1 through 127 as though set forth herein in response to Complaint paragraph 128.

129. Respondents deny the allegations in Complaint paragraph 129.

130. Respondents deny the allegations in Complaint paragraph 130.

131. Respondents deny the allegations in Complaint paragraph 131.

132. Respondents deny the allegations in Complaint paragraph 132.

133. Respondents deny the allegations in Complaint paragraph 133.

134. Respondents deny the allegations in Complaint paragraph 134.

135. Respondents deny the allegations in Complaint paragraph 135.

136. Respondents deny the allegations in Complaint paragraph 136.

137. Respondents deny the allegations in Complaint paragraph 137.

138. Respondents deny the allegations in Complaint paragraph 138.

139. Respondents deny the allegations in Complaint paragraph 139.

140. Respondents deny the allegations in Complaint paragraph 140.

141. Respondents deny the allegations in Complaint paragraph 141.

142. BBY's Prayer for Relief does not require a response, but to the extent a response is required, the allegations therein are denied.

AFFIRMATIVE DEFENSES

Second Affirmative Defense

Without waiving any other defenses, and for further answer, Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over this case. Complainant alleges a breach or breaches of its service contract with Respondents. 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one's service contract commitments) is "an action in an appropriate court," not the Commission.

Third Affirmative Defense

Without waiving any other defenses, and for further answer, Respondents assert that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for the time period covered by the Complaint. While the Shipping Act, 1916 authorized the Commission to broadly regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority with regard to service contracts. In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service pursuant to a tariff. Congress purposefully eliminated the Commission's power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based

approach. Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint. The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, in order to reclaim regulatory powers that Congress specifically removed.

Fourth Affirmative Defense

Complainant failed to take reasonable steps to mitigate its damages.

Fifth Affirmative Defense

Respondent OOCL (Europe) Limited's area of operations is solely European trades, and as a result it had no involvement in the services at issue in the Complaint.

Based on the foregoing, Respondents respectfully request that the Presiding Officer and the Commission dismiss the Complaint with prejudice, award attorney's fees and costs to Respondents, and enter any further relief as may be appropriate.

Respondents request an oral hearing in Washington, D.C.

Respectfully submitted,



Matthew J. Thomas
Emma C. Jones
BLANK ROME LLP
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
MThomas@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
KLetourneau@BlankRome.com

Rebecca A. Fenneman
Eric C. Jeffrey
Jeffrey/Fenneman Law + Strategy,
PLLC
Tel: (202) 904-2301
700 12th Street, NW Suite 700
Washington, DC 20005
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com

**COUNSEL FOR RESPONDENTS
ORIENT OVERSEAS
CONTAINER LINE LIMITED
AND OOCL (EUROPE)
LIMITED**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 22nd day of May, 2023.



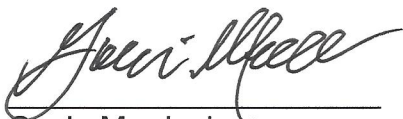
Matthew J. Thomas

VERIFICATION

I, Gavin Murdoch declare as follows:

1. I am the Vice President, Risk and Compliance, of OOCL (USA) Inc.
2. I am duly authorized to make this verification on behalf of Orient Overseas Container Line Limited and OOCL (Europe) Limited.
3. I have read the contents of the Answer of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited in FMC Docket No. 23-02 attached hereto, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.

Signed: May 22, 2023


Gavin Murdoch